

The Size of the Update

A credit signal reversed itself twice in two days, and the Fed decides tonight — the question is how far each fact should move you.

THE READING

The S&P 500 closed Tuesday at 7,428.78, up 0.21%, and Hedgeye lowered its floor to 7,350, a little over one percent below spot. The Nasdaq fell for a fifth straight session to 24,876.91. The ten-year yield eased 3.7bp to 4.604%. WTI settled down 4.0% at \$79.26, through the \$80 line on genuine diplomatic progress, then took the whole move back overnight, +4.5% to \$82.79, after CENTCOM reported an intercepted Iranian missile attack.

Three quieter things. Goldman's high-beta momentum basket is down 37% this month, the worst in the history of the series. The VIX fell 2.46% to 18.21 on a day Korea tripped a circuit breaker. And high-yield credit went bearish to neutral on Monday and straight back to bearish on Tuesday, a full round trip inside one session. The Fed decides at 02:00 with roughly 30% priced for a hike, no dot plot and no forward guidance. The mood is not fear. It is impatience for a verdict.

WHAT WISDOM WOULD SAY

Philip Tetlock, in *Superforecasting* (2015, with Dan Gardner), found that the best forecasters were separated from the rest less by what they knew than by how they revised. They updated often and in small increments — many quarter-turns rather than a few reversals. Two errors sat on either side of them: under-reacting, because a view had hardened into an identity, and over-reacting, because a fresh fact feels more important than an old one merely by being fresh.

Put Tuesday to that test. A credit signal that goes bearish, neutral, bearish inside forty-eight hours is not new information arriving twice. It is one piece of information — cheaper oil — being weighed and then re-weighed. The reading that survives is that Monday's improvement was an oil artefact which did not outlast contact with the equity tape. The correct update on Monday was smaller than the one the signal actually made.

The same test applies tonight. A seventy-thirty split is not a forecast. It is a statement that the decision is genuinely open, and that whatever lands at 02:00 will be roughly a third of the market surprised and two-thirds confirmed.

THE RISK IT JUSTIFIES

This is a morning to make position size a deliberate choice rather than a residual one. Where a view is already expressed, tonight is not the night to add to it — not because the view is wrong, but because the next eight hours will produce a headline whose emotional weight exceeds its informational weight, and anything added inside that window is added by the headline. Where a view is not expressed, waiting costs one session.

The specific work before 02:00 is to write down not what would change your mind but by how much. A hike moves your terminal-rate assumption by what? A hold with a hawkish press conference by how much less? A number set in advance is the only real defence against a number that arrives at two in the morning.

What would change this: if the won begins falling *with* the KOSPI rather than strengthening against it, Korea stops being a sector dislocation and the whole frame needs rebuilding.

*Which of this morning's convictions did you hold yesterday,
and which arrived overnight?*